

THE DEVALUATION RACE

► Credit card providers have taken away the perk of lounge access on some cards as costs escalate ► Many providers have recently increased the annual fees or enhanced the spending limit required to avail of certain benefits on some credit cards

CREDIT CARD	PREVIOUS FEATURE	FEATURE UPDATE AFTER DEVALUATION
Cashback SBI Credit Card	Joining Fee Nil	Joining Fee: ₹999
	Cashback: 1 per cent on offline transactions, including utility bill payments	Cashback: 1 per cent; utility bill payments excluded
	Monthly cashback: Cap of ₹10,000 on online shopping	Monthly cashback: Cap of ₹5,000 on all categories
	Four complimentary lounge access every year	No complimentary lounge access
Flipkart Axis Bank Credit Card	Card activation benefits: Vouchers worth ₹1,100 from Flipkart, Myntra and Swiggy	Card activation benefits: Vouchers worth ₹600 from Flipkart and Swiggy
	Cashback: 5 per cent on shopping on Myntra	Cashback: 1.5 per cent on shopping on Myntra
	Annual fee waiver: Available on spending of over ₹2 lakh in a year	Annual fee waiver Available on spending of over ₹3.5 lakh in a year
Axis Bank Magnus Credit Card	Annual fee: ₹10,000; waived off on spending of ₹15 lakh in the preceding year	Annual fee: ₹12,500; waived off on spending of ₹25 lakh in the preceding year
	Card activation benefits: 1 complimentary domestic flight ticket, or a Tata CLiQ voucher worth ₹10,000	Card activation benefits: Luxe gift card/The Postcard Hotels voucher/Yatra voucher, worth ₹12,500
	Annual benefit: Complimentary voucher worth ₹10,000, and monthly milestone benefit of bonus 25,000 points	No complimentary annual or milestone benefits
	Conversion ratio: 5:4 for hotel/airlines partners	Conversion ratio: 5:2 for hotel/airline partners; Maximum 500,000 EDGE reward points can be converted in a year
Axis Bank Vistara Credit Card	Utility bill payments and government services transactions eligible for rewards earning and calculation of milestone benefit spends	Utility bill payments and government services transactions excluded from earning rewards and calculating milestone benefits
HDFC Bank Regalia Credit Card	12 complimentary lounge access per calendar year within India (both at domestic and international terminals)	Up to two complimentary lounge access in a quarter (eight in a year) on spending ₹1 lakh or more in a quarter

NOTE THIS IS NOT AN EXHAUSTIVE LIST OF CREDIT CARDS; ONLY POPULAR CREDIT CARDS WHERE MAJOR DEVALUATIONS HAVE OCCURRED HAVE BEEN LISTED
SOURCE PAISABAZAAR.COM

“The low revolver rate has been offset by the high number of equated monthly instalments (EMI) on credit cards. Many of these are interest subventions, where the interest is borne not by the customer, but by the vendor or manufacturer. These have translated into discounts for customers, but they have not impacted the revenues of credit card issuers,” explains Shetty. For example, SBI Card’s interest earning receivables from EMIs has increased to 38 per cent in Q2FY24, from 35 per cent in Q2FY23.

PAYMENTS AND PAIN

While credit card transactions have increased 30 per cent year-on-year in FY23, per a PwC report, credit card defaults have also jumped by 30.5 per cent to ₹4,073 crore in FY23, from ₹3,122 crore in FY22, per data from RBI. “These numbers are for the early buckets of 0-30 days and vary from company to company. However, when it comes to the top three credit card companies—HDFC Bank, ICICI Bank and SBI Card—and the rest of the pile, there is a significant difference in portfolio quality,” says Collekt’s Singh. “Hence, if you want to compare bounce percentages, you must segregate it as per specific metrics rather than a generic overall portfolio,” he adds, further explaining that since credit card providers are looking to expand aggressively across geographies, customer segments and income buckets, delinquency levels may rise.

Consider this: Balance-level serious delinquencies, measured as 90 dpd (days past due), has improved across product categories, except for credit cards and personal loans, according to the TransUnion CIBIL Credit Market Indicator (CMI) report for the